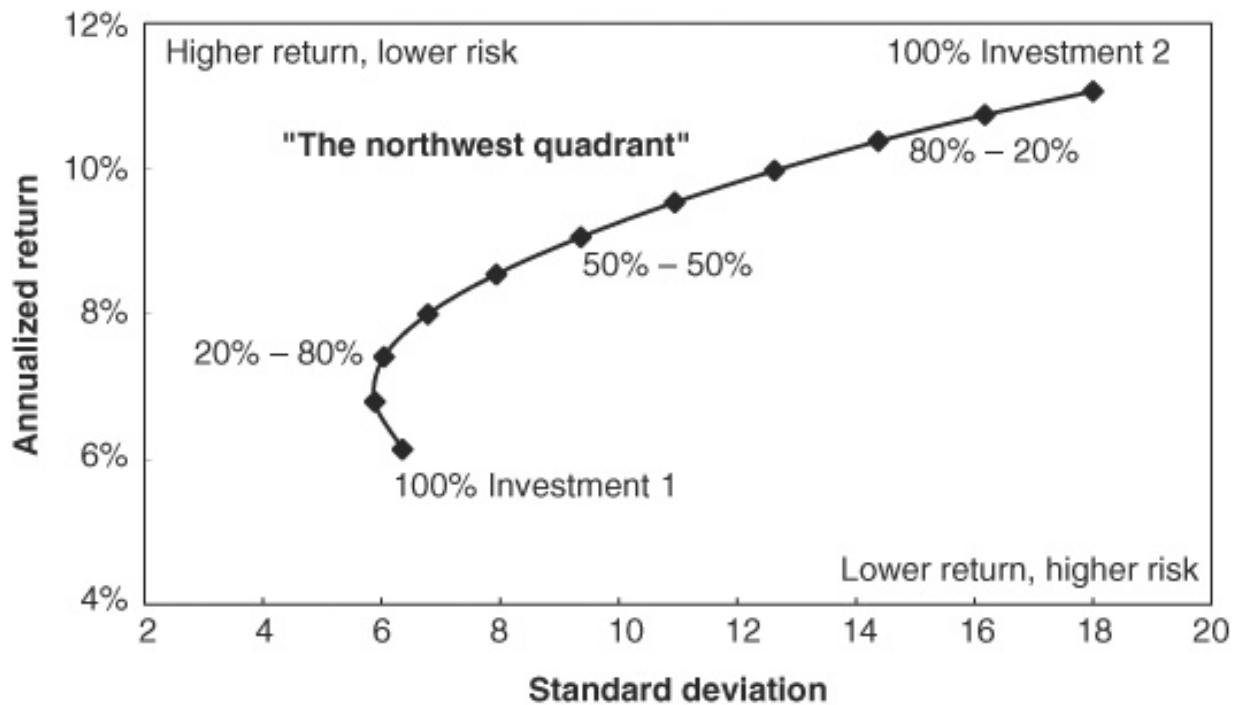




At one end of the chart is the risk and return for the first investment in a portfolio, and at the other end is the risk and return for the second investment. The points in between represent the risks and returns of portfolios using various asset allocations, spaced with 10 percent intervals. The points on a risk-and-return chart are linked together to form a line that represents all the different combinations of the two asset classes. Depending on which two asset classes are used, the line curves upward and to the left to varying degrees.

The vertical y axis is easy to understand because high returns are always better than low returns. However, an equally important factor in the chart is the risk measure on the horizontal x axis. The more volatile the annual returns of a portfolio, the further to the right on the horizontal x axis the points are. Points far to the right on the x axis depict very aggressive portfolios. Clearly, the preferable place on the chart is the area in the upper-left portion, depicting high returns with low risk. This area of the chart is often referred to as the *northwest quadrant*.

Turn your attention to [Figure 3-7](#). A portfolio of 100 percent Investment A has the lowest return and the lowest risk. On the other hand, a portfolio of 100 percent Investment B has the highest return and the highest risk. What would you expect the risk and return to be of a portfolio that is 50 percent in Investment A and 50 percent in Investment B?